

IN THE COURT OF APPEAL OF THE DEMOCRATIC SOCIALIST REPUBLIC OF SRI
LANKA

In the matter of an Appeal by way of stated Case on a question of law for the opinion of the Court of Appeal under and in terms of Section 11A of the Tax Appeal's Commission Act No. 23 of 2011 (as amended).

MMBL Money Transfer (Private) Limited,
Aitken Spence Tower,
315, Vauxhall Street
Colombo 2.

APPELLANT

CA CASE NO: CA/ TAX/ 214/ 2024

TAC/ IT /039/ 2022

Vs.

Commissioner General of Inland Revenue,
Department of Inland Revenue,
Sir Chittampalam A. Gardiner Mawatha,
Colombo 2.

RESPONDENT

Before: **Hon. Justice B. Sasi Mahendran, J.**
 Hon. Justice Adithya Patabendige, J

Counsel: Dr. K. Kanag Isvaran, PC with Shivaan Kanag Isvaran for the Appellant
 Shellomy Gunerathne, SC for the Respondent.

Written 08.05.2026 & 19.11.2025 (by the Appellant)

Submissions: 27.01.2026 & 10.10.2025 (by the Respondent)

On

Supported On: 09.07.2026

Judgment On: 22.09.2026

B. Sasi Mahendran,

This is a Case Stated submitted for the opinion of this Court by the Tax Appeals Commission (hereinafter referred to as “TAC”) under Section 11 of Act No.23 of 2011 (as amended). The Appellant, MMBL Money Transfer (Private) Limited, is a limited liability company incorporated in Sri Lanka and operates as a joint venture between Atkin Spence PLC and Mercantile Merchant Bank Limited. The Appellant company carries on business as an independent global financial company specialising in cross-border, cross-currency money movement and payment.

The Appellant Company has submitted their return of Income for the period of 2017/2018 on 27th November 2018, as it lawfully might an exemption under and in terms of Section 13(ddd) of the Inland Revenue Act No 10 of 2006 (hereinafter referred to as the “Act”)

However, the Assessor did not accept the return on certain aspects, acted under Section 163 of the said Act, and issued an assessment by an intimation letter dated 28th May 2020. Thereafter, a notice of assessment dated 01st of June was issued by the Respondent, which the Appellant only received on 24th June 2020.

Being aggrieved, the Appellant Company appealed to the Commissioner General of Inland Revenue (hereinafter referred to as the “Respondent”) under Section 165 (1) of the said Act against the notice of assessment issued to the Appellant. The Respondent, by his determination dated 25th July 2022, confirmed the assessment made by the assessor.

The Appellant appealed against the Respondent's determination to the TAC by Petition of Appeal dated 2nd September 2022. TAC, by its determination dated 10th July 2024, confirmed the determination made by the Respondent.

The Appellant, being dissatisfied with the aforesaid determination of the TAC, by its communication dated 03rd October 2024, requested the TAC to refer the Case Stated for the opinion of the Court of Appeal. The Case Stated consists of seven questions of law, formulated by the TAC, and forwarded to the Court of Appeal for its opinion.

The Questions of Law, reproduced verbatim, are as follows,

1. Has the Tax Appeals Commission misdirected itself in law by not holding that the Deputy Commissioner lacked jurisdiction to issue an assessment in terms of Section 163 of the Inland Revenue Act No. 10 of 2006 (as amended) after the repeal of the said Act by the Inland Revenue Act, No. 24 of 2017?
2. Without prejudice to the above question, has the Tax Appeals Commission misdirected itself in law in not holding that the notice of assessment, which comprises the subject matter of this appeal, is time-barred and is therefore of no force or effect in law?
3. Has the Tax Appeals Commission misdirected itself in law in not holding that the failure of the Respondent to adhere to the hearing procedure stipulated under section 165 of the Inland Revenue Act, No. 10 of 2006(as amended) rendered the determination of the Respondent invalid?
4. Did the Tax Appeals Commission misdirect itself in fact and in law when it concluded that the Appellant does not fulfil the criteria set out in section 13(ddd) of the Inland Revenue Act, No. 10 of 2006 (as amended)
5. Did the Tax Appeals Commission misdirect itself in fact and in law when it concluded that the compensation that the Appellant receives for services rendered to Western Union is "commission" within the meaning of section 13(ddd) of the Inland Revenue Act, No. 10 of 2006 (as amended), in the facts and circumstances of the case?
6. Is the determination of the Tax Appeals Commission against the weight of evidence?
7. In view of the facts and circumstances of the case, did the Tax Appeals Commission misdirect itself in law when it came to the conclusion that it did?

On the Court's directions on 3rd of February 2026, both parties agreed that Question of Law No. 02, which concerns a question of time bar, could be determined as a preliminary issue. Accordingly, both parties consented to disposing of the said question by way of written submissions.

Question of Law No.2 is *‘Without prejudice to the above question, has the Tax Appeals Commission misdirected itself in law in not holding that the notice of assessment, that comprises the subject matter of this appeal, is time-barred and is therefore of no force or effect in law?’*

The learned President counsel for the Appellant relied on the decision of **Fonterra Brands Lanka (Private) Limited Vs The Commissioner General & Another**, SC Appeal No. 187/2014, decided on **26th September 2025**, to advance the proposition that assessment is not completed until it is communicated to the taxpayer by a notice of assessment within the time limit. It should be noted that in the said judgment of the Supreme Court, the Court has clearly indicated that **Illukkumbura Industrial**

Automation (Pvt) Ltd Vs Commissioner General of Inland Revenue, CA/TAX 05/2016, CA minute 29th September 2022, is materially different from the case in hand.

It is pertinent to refer to the passage in the said judgment

“The letter neither quantifies a conclusive sum payable nor calls upon the Appellant to discharge such liability; specifies a date by when the amount shall be settled; nor does it set out the statutory right of appeal, which is an essential feature of a Notice of Assessment under Section 136. The computations appear as tentative workings to support the Assessor's non-acceptance of the return, rather than as the imposition of a charge. To treat this document as an "assessment" would strip the taxpayer of vital procedural safeguards and reduce the statutory right of appeal to an empty formality. Therefore, unlike in Illukkumbura, where the intimation itself embodied the assessment, the letter before us is no more than a preliminary communication, a step antecedent to assessment and cannot be given the legal effect of a Notice of Assessment.

The Supreme Court essentially held that an assessment is not complete until it is communicated to the taxpayer by way of a notice of assessment served within the prescribed time limit. The statutory time bar applies to the assessment as a whole, including the notice of assessment. A letter of intimation, however, does not constitute an assessment; nor can it be regarded as an internal departmental communication.

The Court nevertheless considered the decision in *Illukkumbura* (supra), in which the Court of Appeal addressed the question of whether a letter of intimation issued under section 163(3) of the said Act could constitute evidence of an assessment. The Supreme Court held that the facts and circumstances of the present case were materially different from those considered in *Illukkumbura*.

Before I consider both judgments, it is pertinent to refer to Section 163 (1) and (3) of the said Act, which deals with the assessment.

Section 163(1),

*“163 (1) Where any person who in the opinion of an Assessor or Assistant Commissioner is liable to any income tax for any year of assessment, has not paid such tax or has paid an amount less than the proper amount which he ought to have paid as such tax for such year of assessment, an Assessor assistant Commissioner may, subject to the provisions of subsection (3) and (5) and after the fifteenth day of November immediately succeeding that year of assessment, assess the amount which in the **judgment** of the assessor Assistant Commissioner*

ought to have been paid by such person, and **shall by notice in writing** require such person to pay forthwith-

- (a) The amount of tax so assessed, if such person has not paid any tax for that year of assessment; or
- (b) The difference between the amount of tax so assessed and the amount of tax paid by such person for that year of assessment, if such person has paid any amount as tax for that year of assessment: [emphasis added]

Section 163 (3),

(3) Where a person has furnished a return of income, the Assessor or Assistant Commissioner may in making an assessment on such person under subsection (1) or under subsection (2), either-

- (a) Accept the return made by such person; or
- (b) If he does not accept the return made by that person, estimate the amount of the assessable income of such person and assess him

Accordingly:

Provided that where an Assessor or Assistant Commissioner does not accept a return made by any person for any year of assessment and makes an assessment or additional assessment on such person for that year of assessment, he shall communicate to such person **in writing his reasons for not accepting the return**. [emphasis added]

When considering the above two subsections, Section 163(3) deals with the return of income submitted by the Assessee to the Assessor. In that particular subsection (3), the Assessor has to follow the following steps,

1. The Assessor can accept the return made by that person
2. If the Assessor does not accept the return, he shall estimate the amount of assessable income and assess him accordingly, provided that if he does not accept the return and makes an assessment or an additional assessment, he shall communicate to such person in **writing** his reasons for not accepting the return.

This section deals with assessment. What is an “Assessment”? The meaning of the term “assessment” was considered by Gratiaen J in Commissioner of Income Tax v. Chettinad Corporation Ltd. (1954) 55 NLR 553 at 555.

“Section 64 of the Income Tax Ordinance empowers an Assessor to assess every "person" (as defined in that Ordinance) who is in his opinion chargeable with income tax. The assessment so prepared by the Assessor is then scrutinised and either approved or amended by an Assistant Commissioner, who in due course signs the assessment if he is satisfied that, in its final form, it charges the person to whom it relates with the full tax with which he ought to be charged (section 66). Eventually, section 67 empowers the Assistant Commissioner to issue a notice of assessment "to each person who has been assessed stating the amount of income assessed and the amount of tax charged". The distinction between an "assessment" and a "notice of assessment" is thus made clear: the former is the departmental computation of the amount of tax with which a particular assessee is considered to be chargeable, and the latter is the formal intimation to him of the fact that such an assessment has been made.”

If I peruse subsection (1), there is a word called ‘judgment of the Assessor’.

What is a ‘judgment’?

“A judgment is the ability to form an opinion or make a decision after careful thought.”

Under subsection (3) of the said Act, when making an assessment, the Assessor is required to estimate the amount of assessable income, calculate the taxable income, and assess the person accordingly. In doing so, the Assessor is also required to provide the reasons for the assessment. By undertaking these steps, the Assessor forms an opinion as to the amount of tax that ought to be paid by the assessee.

Where an assessment is made under section 163(1) of the said Act, the Assessor is required to take certain prescribed steps. First, the Assessor must determine the amount of tax which, in the judgment of the Assessor, ought to have been paid by the person. Thereafter, the Assessor must inform that person in writing of the assessment and require the person to pay forthwith the amount of tax so assessed, or the difference between the amount of tax assessed and the amount, if any, already paid.

Both subsections have word of ‘**writing**’, especially subsection (1) ‘*notice in writing require such person to pay forthwith*’ and subsection (3) ‘*shall communicate to such person in writing his reasons for not accepting the return.*’

So, it is clear that under subsection (3) the Assessor has to form an opinion with regard to the Assessment and give reasons for not accepting. And the reasons should be communicated to the Assessee. Thereafter only Assessor take steps under Section 163(1) of the said Act.

This concept was discussed by Samarakoon, CJ. in **Fernando. V. Mohideen Ismail** [1982] 1 SLR 222 at page 228,

“If the intention of Parliament is to be considered, as Perera J. has sought to do, this statement in Clause 34 alone suffices to indicate beyond doubt that Parliament intended to impose one duty only and that is a duty on the Assessor to communicate reasons. I cannot therefore uphold the finding that this section imposed a condition precedent and a duty on the Assessor to hear submissions of the Assessee before making an estimate of assessable income, taxable wealth and gifts. The assessment so made in terms of section 93(2) must be followed by a Notice of Assessment in terms of section 95. That is the first time that the Assessee is apprised of the estimated income and taxable wealth and he must then know the reasons for non-acceptance of his return. It appears to me therefore that the duty to communicate reasons can be discharged by sending the reasons simultaneously with the Notice of Assessment.”

It is clear that after the Assessor estimates the amount of assessable income, only then is a Section 163(1) notice to be sent. When the Assessor acts under subsection (3), reasons should be given for not accepting the return.

This concept was discussed in W.N.D. Perera, J in **Philip Upali Wijewardene v. C. Kathiragamer and Another** (CA No.1471/79), Sri Lanka Tax cases, Vol IV, at page 314,

“The aforesaid assessments P4, PS, P6 and P.7 were dated 29.03.79. It is not disputed that the assesment were in fact received on 4.4.79. Learned Presidents' Counsel who appeared for the petitioner cited the decision of the Supreme Court reported in 1982 1 SLR272 in the case of D. M. S. Fernando and another ys. Ismail where it was held that the notice of assessment was null and void because the assessor failed to obey a mandatory order to give his reasons in writing to the taxpayer for rejection of the return in terms of Section 96C (3) (d) of the Inland Revenue Act. It was contended by learned Counsel that the communication of the reasons for the rejection as well as the assessments made in their place must reach the taxpayer within the time limit stipulated in Section 96(C) 3 of the Act.

It is to be noted that the aforesaid provision of law relied on behalf of the petitioner states that no assessment shall be made after the stipulated date. In the case cited on behalf of the petitioner no reasons had apparently been sent to the petitioner for rejecting his return. The Supreme Court held that the communication of these reasons was mandatory and that this should be done "at or about the time he sends his assessment on an estimated income (page 234). In the instant case the assessments have been made within the stipulated time and have*

been sent to the assessee" at or about the time" the assessments were made. I am therefore of the view that there has been a substantial compliance with requirements of the law and that the petitioner is not entitled to the relief prayed for. I, therefore dismiss this application with costs fixed at Rs. 325 payable to each respondent."

It is clear that two notices are referred to in the respective subsections. The question that arises is which of the two notices is applicable for subsection (5). At this juncture, it is pertinent to refer to Section 163(5) of the said Act.

*"(5) Subject to the provisions of section 72, **no assessment of the income tax payable under this Act by any person or partnership -***

(a) Who or which has made a return of his or its income on or before the thirtieth day of November of the year of assessment immediately succeeding that year of assessment,

(i) where such year of assessment is any year of assessment commencing prior to April 1, 2013, shall be made after the expiry of a period of two years from the thirtieth day of November of the immediately succeeding year of assessment; and

(ii) Where such year of assessment is any year of assessment commencing on or after April 1, 2013, shall be made after the expiry of a period of eighteen months from the thirtieth day of November of the immediately succeeding year of assessment:

(b) Who has failed to make a return on or before such date as referred to in paragraph (a), shall be made after the expiry of a period of four years from the thirtieth day of November of the immediately succeeding year of assessment:" [emphasis added]

It should be noted that the Appellant submitted its return of income for the year of 2017/2018 on 27th November 2018. The time bar for raising an assessment lapsed on 30th May 2020. (18 months from 30th November 2018). Letter of Intimation is dated 28th May 2020. The Notice of Assessment was dated 1st June 2020. The Appellant contended that, in terms of Section 163(5) of the said Act, the Notice of Assessment received on 1st June was time-barred.

Therefore, the Deputy Commissioner has no jurisdiction to issue an assessment in terms of Section 163 of the said Act. On the other hand, the Respondents' view is that the letter of intimation should be considered for time bar.

Accordingly, the Respondent assessed the amount of tax payable in accordance with the time bar prescribed under Section 163(5) of the said Act.

It is pertinent to refer to the Determinations of the TAC, which is marked as “X3”.

At page 329 of the brief,

“However, the contention of the Respondent is that, according to the official documents having with the Inland Revenue Department (hereinafter referred as IRD) the date of the letter of the intimation is 28/05/2020 and it shows that the assessment has been made well before the time bar. In addition, states that, even the IRD Officer has prepared the notice of assessment in 'RAMIS' on 28/05/2020, and making the assessment includes ,making the assessment physically and technically by using rates on liable income in compliance with the provisions of IRA. The communication of the said assessment comes with the notice of assessment. Making of assessment and sending the notice of assessment are two different functions. The Respondent also citing cases has stated that, there is no merits with the argument of the Appellant. ”

At page 327 of the brief,

“When perused the intimation letter sent to the Appellant on 28/05/2020, by the Deputy Commissioner to the Appellant, it can be clearly seen that the Assessor showing the new tax computation that was made complying section 163(1) of the IRA, and has intimated to the Appellant giving reasons for not accepting the return. Further at the end of the letter has clearly mentioned that, 'this letter is issued to fulfill the requirement of the Section 163(3) of the IRA. The notice of assessment will be issued in due course. ”

At page 326 of the brief,

“Therefore, it is quite clear in a situation where a person has made a return on or before the thirtieth day of November of the year of assessment, the time bar period is to be applied only on making an assessment. This Section has not mentioned anything about the notice of assessment. ”

At page 325 of the brief,

“Therefore, it is quite clear, with regard to the time bar, it has to be taken in to consideration only whether the Assessor has made the Assessment prior to the deadline, and not the date of Notice of Assessment sent to the Appellant. The Appellant has not denied the fact that he has received the letter of intimation dated 28th May 2020, before the date of time bar, and even the IRD Officer has taken steps to prepare the notice of assessment in ' RAMIS' on 28/05/2020.

Therefore, it is clear that the Deputy Commissioner in this matter has made the Assessment in accordance with the Section 163 of the IRA, prior to the time bar and had also given the reasons, as to why such an assessment was made.”

At pages 325-324 of the brief,

“Also the Appellant has not denied the fact that during this period there were lock downs declared from time to time island wide. Even though the Appellant states without sufficient proof that he received the 'notice of assessment' on the 23/06/2020, the date in the Notice of assessment shows as 01/06/2020. Therefore, when consider the 'lockdowns' those were in the country, one cannot rule out the fact of the 'postal delays', in which the officers of the IRD cannot be blamed for violating any rules and/ or not discharging the burden of proof that COVID-19 circumstance has caused a delay in receiving the notice of assessment.

Considering the above, this Commission cannot see, any merits on the argument raised by the Appellant with regard of the time bar issue to decide that the assessment issued for the above Y/ A is invalid in law.”

The question to be determined is whether Section 163 (5) of the said Act is to be applied with subsection (1) or subsection (3). A plain reading of subsection (5) reads as ‘*no assessment*’. Subsection (3) also speaks about the assessment. But Section 163(1) of the said Act speaks about ‘*to pay forthwith the amount of tax assessed*’ or ‘*the difference between the amount of tax so assessed*’.

It is pertinent to refer to the observation referred to by His Lordship Sampath Wijeratne J in *Illukkumbura Industrial Automation (Pvt) Ltd Vs Commissioner General of Inland Revenue*, (*supra*).

“When addressing the question of time bar, it could be seen that the time bar provided in Section 163 (5) applies to the making of an assessment. The word 'made' in Section 163 (5) (a) (i) and ii) (b) clearly manifest this position. It is important to note that no time bar for the issuing of the Notice of Assessment is set out either in Section 164 or 163 (1). If the intention of the Legislature was to set up a time bar for the issuing of the Notice of Assessment, the legislature had no difficult in enacting that "no Notice of Assessment should be given' after the expiry of the prescribed time limit, instead of enacting that 'no assessment shall be made' after the expiry of the prescribed time limit.”

In addition, where an Assessee is dissatisfied with the Assessor’s decision regarding an assessment made under Section 165, the Assessee has the right to make an application to the Commissioner General.

Section 165 (1) of the said Act reads as follows,

“(1) Any person who is aggrieved by the amount of an assessment made under this Act by the amount of any valuation for the purposes of this Act may, within a period of thirty days after the date of the notice of assessment, appeal to the Commissioner-General against such assessment or valuation:

Provided that the Commissioner-General, upon being satisfied that owing to absence from Sri Lanka, sickness or other reasonable cause, the appellant was prevented from appealing within such period, shall grant an extension of time for preferring the appeal.”

The particular section deals with the amount of the assessment. The amount of the assessment is determined under Section 163(3) of the said Act. Under that subsection, where an Assessor does not accept the return submitted by the Assessee, the Assessor is authorised to determine or estimate the amount of the assessment and is required to provide the reasons for not accepting the return.

If the Assessee is dissatisfied with that decision, particularly with the reasons given by the Assessor, the Assessee may either consult with the Assessor or appeal against the decision. As stated earlier, Section 163(1) of the Act derives from the determination made by the Assessor regarding the amount of the assessment, which is addressed in Section 163(3) of the Act. Section 163(1) confers the power on the Assessor to make an assessment, while Section 163(3) prescribes particular requirements applicable where the Assessor does not accept the return, including communicating the reasons for rejecting the return. It is therefore clear that a decision relating to the assessment is subject to appeal.

It is for this reason that the legislature has prescribed a time limit within which the Assessor must conclude the assessment process. Section 163(5) of the said Act requires the Assessor to make the relevant decision within the stipulated period.

It is pertinent to refer to similar provisions available in other statutes.

Article 126(5) of the Constitution

“126 (5) The Supreme Court shall hear and finally dispose of any petition or reference under this Article within two months of the filing of such petition or the making of such reference.”

Section 19 (1) of the Consumer Affairs Authority Act, No. 9 of 2003.

“19. (1) Where it appears to the Director-General that any goods are being sold or any services are being provided by a manufacturer or trader at an excessive price or any market manipulation or other market imperfection exists in respect of such goods or services provided

by such manufacturer or trader, the Director-General may, in consultation with the Authority as he may deem necessary and having regard to whether —

(a) the sale of such goods or the provision of such services is of general economic importance; or

(b) any category of consumers are significantly affected by such excessive price, refer such matter to the Council for investigation and report.

(2) The Council shall conclude its investigation and submit its report to the Director-General within two months of such reference being made to it by the Director-General.”

Section 25 of the Right to Information Act, No. 12 of 2016,

“25. (1) An information officer shall, as expeditiously as possible and in any case within fourteen working days of the receipt of a request under section 24, make a decision either to provide the information requested for on the payment of a fee determined in accordance with the fee schedule referred to in section 14(e) or to reject the request on any one or more of the grounds referred to in section 5 of this Act, and shall forthwith communicate such decision to the citizen who made the request.”

Since the Supreme Court, Fonterra case (Supra) has held that the Illankumbura case (supra) is distinguishable from the case in which the aforesaid decision was made, I am of the view that the present case is analogous to the Illankumbura case. The notice of assessment in the present case contains all the essential elements that were considered by the Court in the said Illankumbura case. Accordingly, I follow the decision in Illankumbura, in which His Lordship Sampath Wijeratne J. held that:

“The letter of intimation dated 28th November 2011 contains an assessment on an estimated income and therefore, the letter of intimation satisfies both the requirements, the reasons for rejecting the return and the assessment on an estimated income. Hence, the assessment had been made before, or at least on the 28th November 2011.”

Therefore, I hold that the time limit prescribed under section 163(5) of the said Act applies to section 163(3) where the Assessor determines or estimates the income and communicates the reasons for such determination or estimate, which is commonly referred to as a “letter of intimation.”

Therefore, in view of the above analyses, I hold that the Assessment made in the instant case is not made out of time. Accordingly, I hold that the TAC has correctly determined that the Assessment issued to the Appellant is not time-barred.

It is important to note that, although the time bar does not apply to the notice of assessment, both notices should be issued together. This is because the primary objective of the Inland Revenue Department is to ensure the proper and accurate collection of taxes.

Having considered the provisions of Section 163 of the Inland Revenue Act No. 10 of 2006, as amended, the authorities referred to by learned Counsel, and the facts and circumstances of the present case, I have concluded that the assessment was made within the period prescribed by Section 163(5) of the said Act.

Accordingly, I answer **Question of Law No. 2 in the negative.**

In view of the aforesaid answer, and having regard to the agreement reached by the parties at the hearing that the remaining questions of law would not be pursued depending upon the determination of Question of Law No. 2, I do not propose to express any opinion at this stage on the remaining questions of law arising from the Case Stated.

Application dismissed.

JUDGE OF THE COURT OF APPEAL

Adithya Patabendige, J.

I AGREE

JUDGE OF THE COURT OF APPEAL